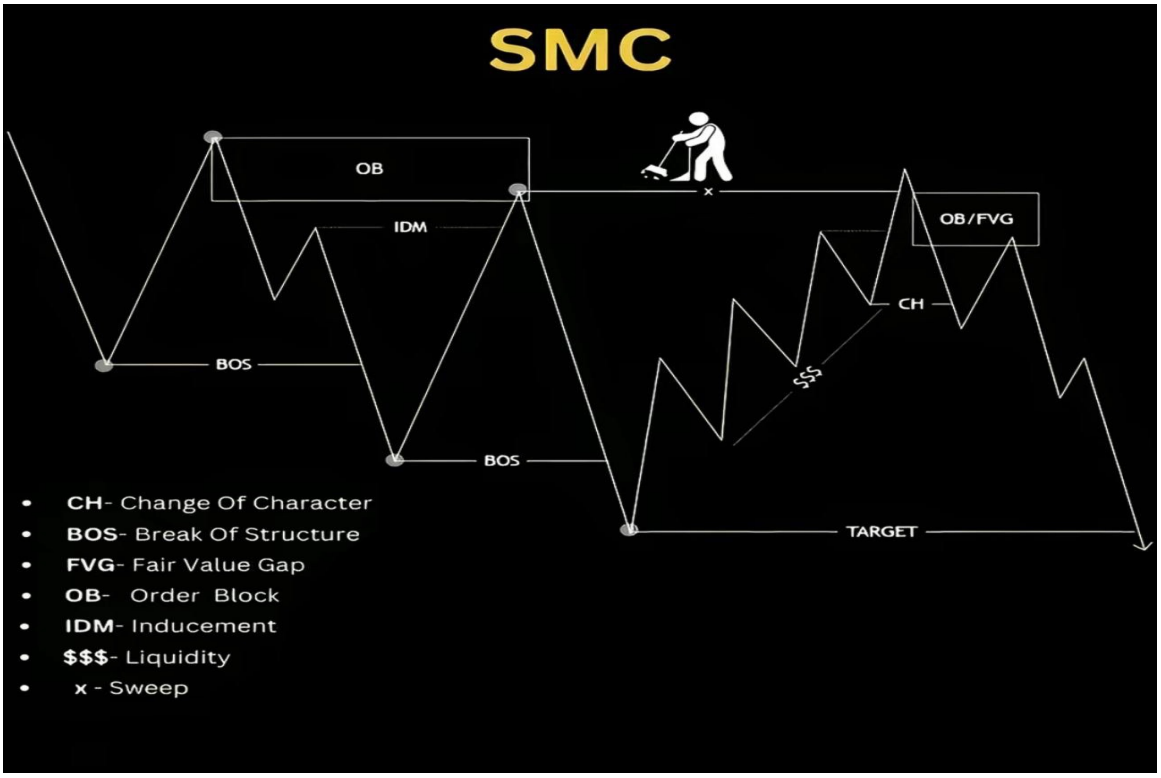
Smart Money Concept (SMC) - Trading Ebook

This ebook explains Smart Money Concept (SMC) in trading with both diagrams and theory. You will learn how institutions manipulate markets, how to identify structure, liquidity, and high-probability entry models.

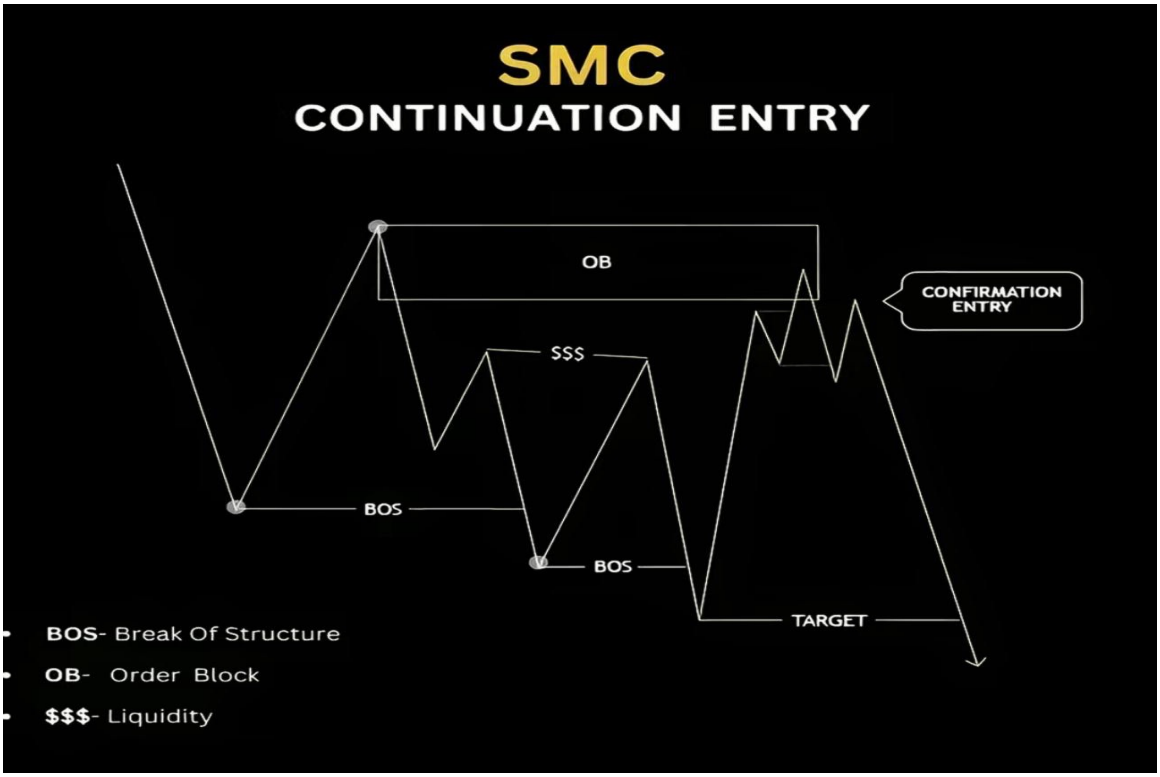
SMC Basic Model

The Smart Money Concept (SMC) shows how institutional traders move price. Break of Structure (BOS) indicates continuation, while Change of Character (CHOCH) signals reversal. Liquidity is often swept before the real move, targeting Order Blocks (OB) and Fair Value Gaps (FVG).



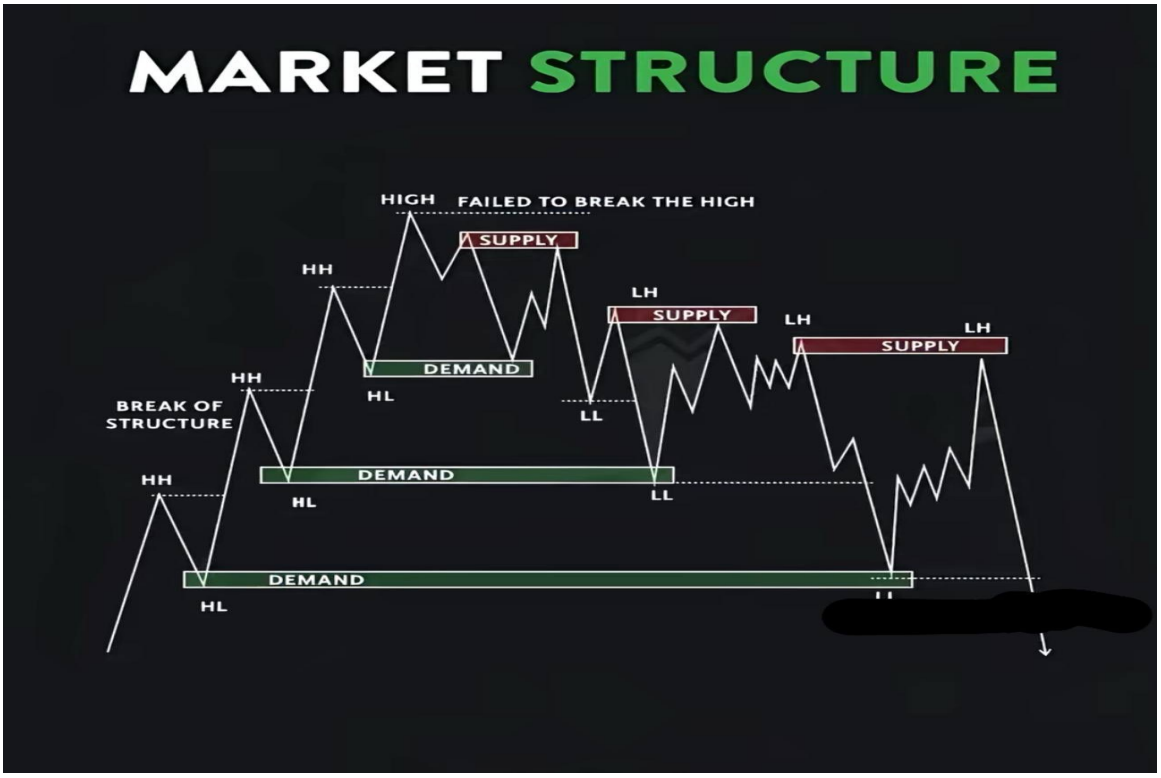
Continuation Entry

Continuation entries happen when the trend is strong. After a BOS, liquidity is swept, and price retests an Order Block (OB) to confirm continuation. This provides low-risk entries following the trend.



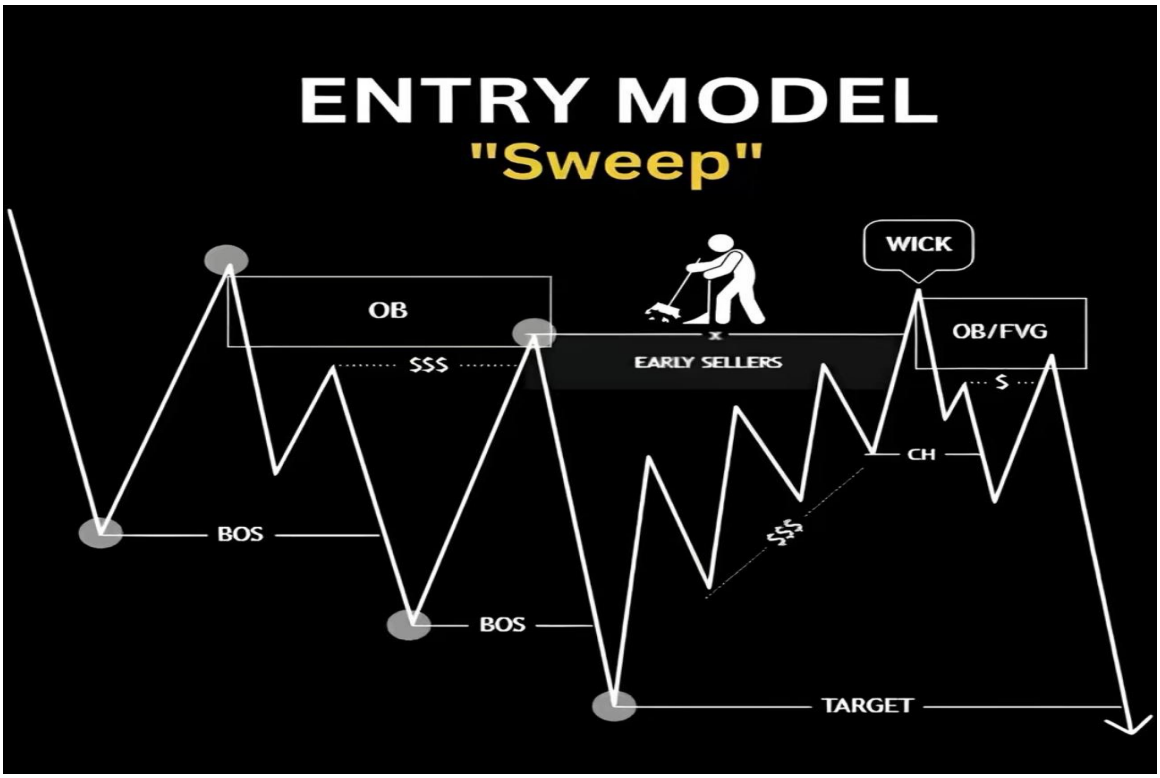
Market Structure

Market structure is the foundation of SMC. Higher Highs (HH) and Higher Lows (HL) show bullish structure, while Lower Highs (LH) and Lower Lows (LL) show bearish structure. Supply and Demand zones define where reversals can happen.



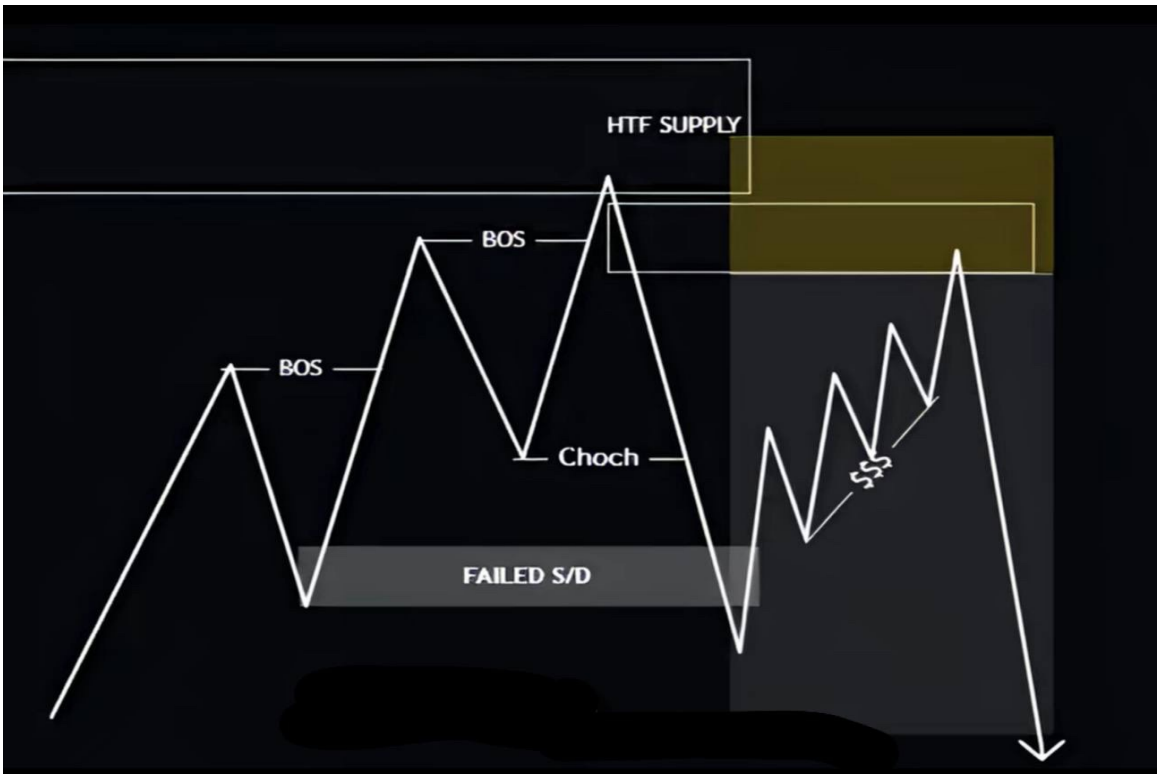
Entry Model: Sweep

Sweep entries occur when liquidity above or below a key level is taken before price reverses. This traps early traders and creates better entries at OB/FVG zones.



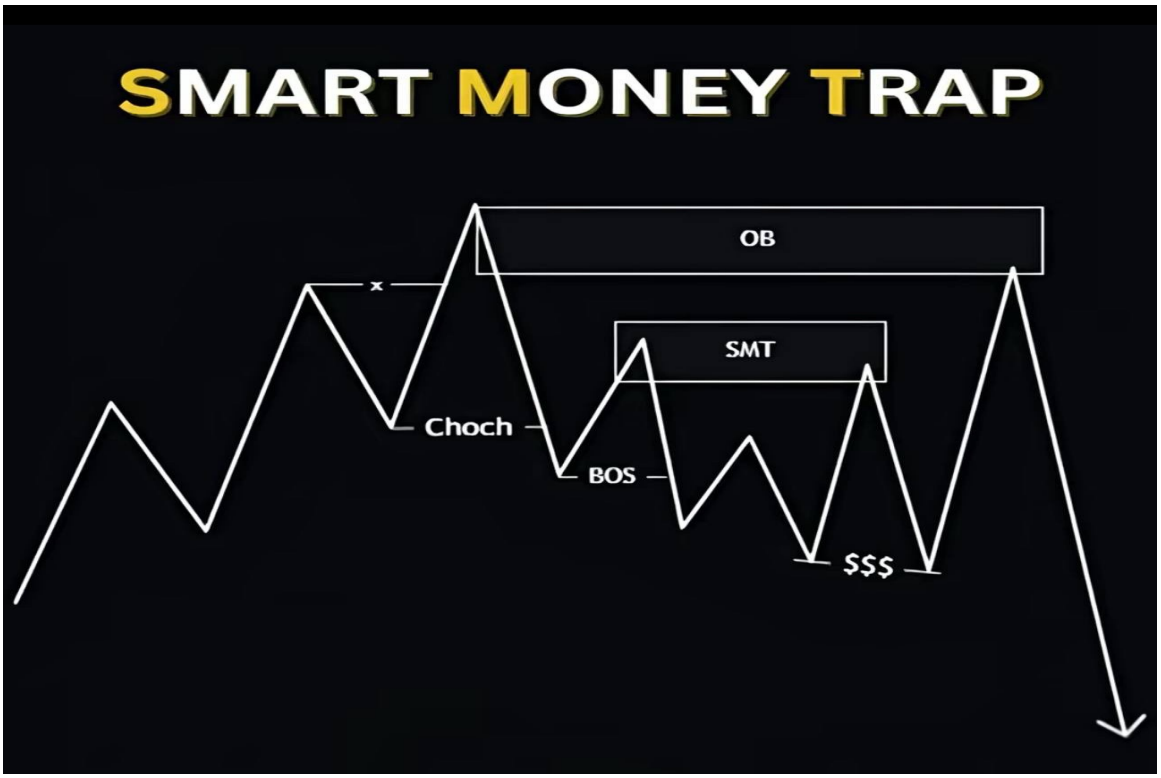
HTF Supply & Failed S/D

Higher Time Frame (HTF) supply and demand zones control major moves. If a supply/demand zone fails, it signals institutional manipulation and the next liquidity target.



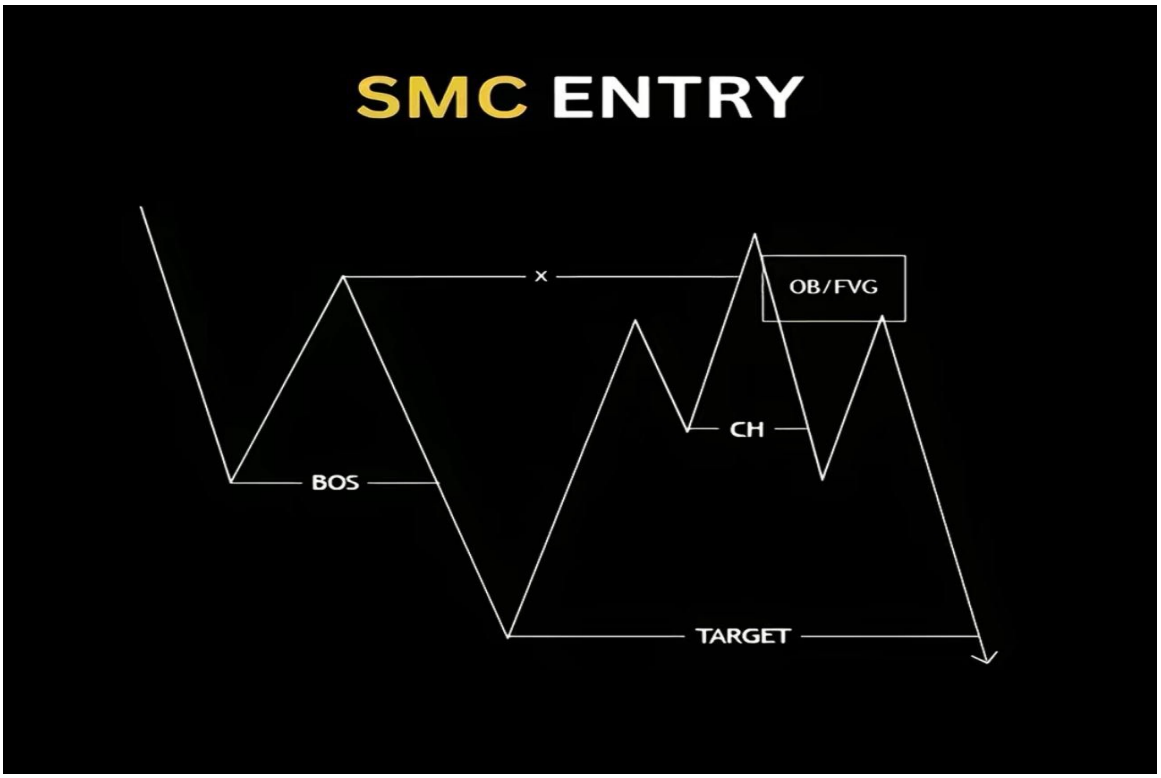
Smart Money Trap

Smart Money Trap (SMT) occurs when retail traders are lured into false breakouts. After BOS and liquidity sweep, institutions reverse price, trapping sellers or buyers.



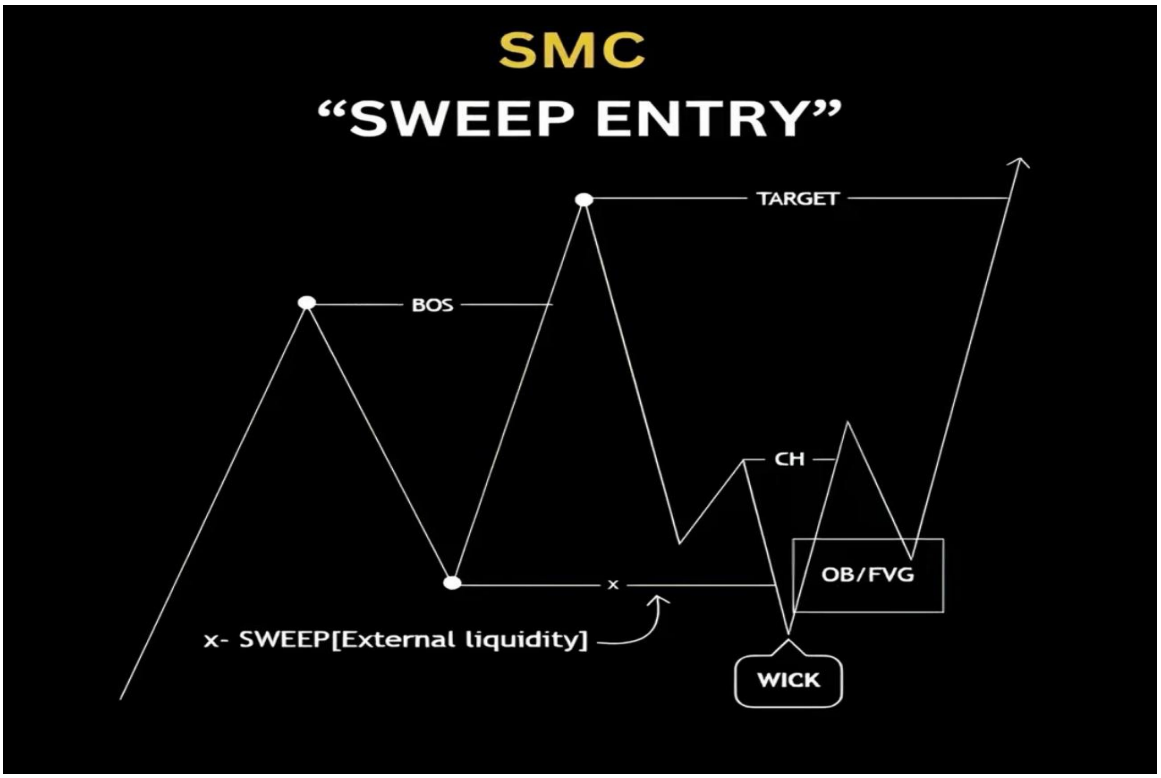
SMC Entry

The SMC entry model follows a checklist: BOS → CHOCH → Sweep → OB/FVG entry. This systematic approach filters false signals and increases win rate.



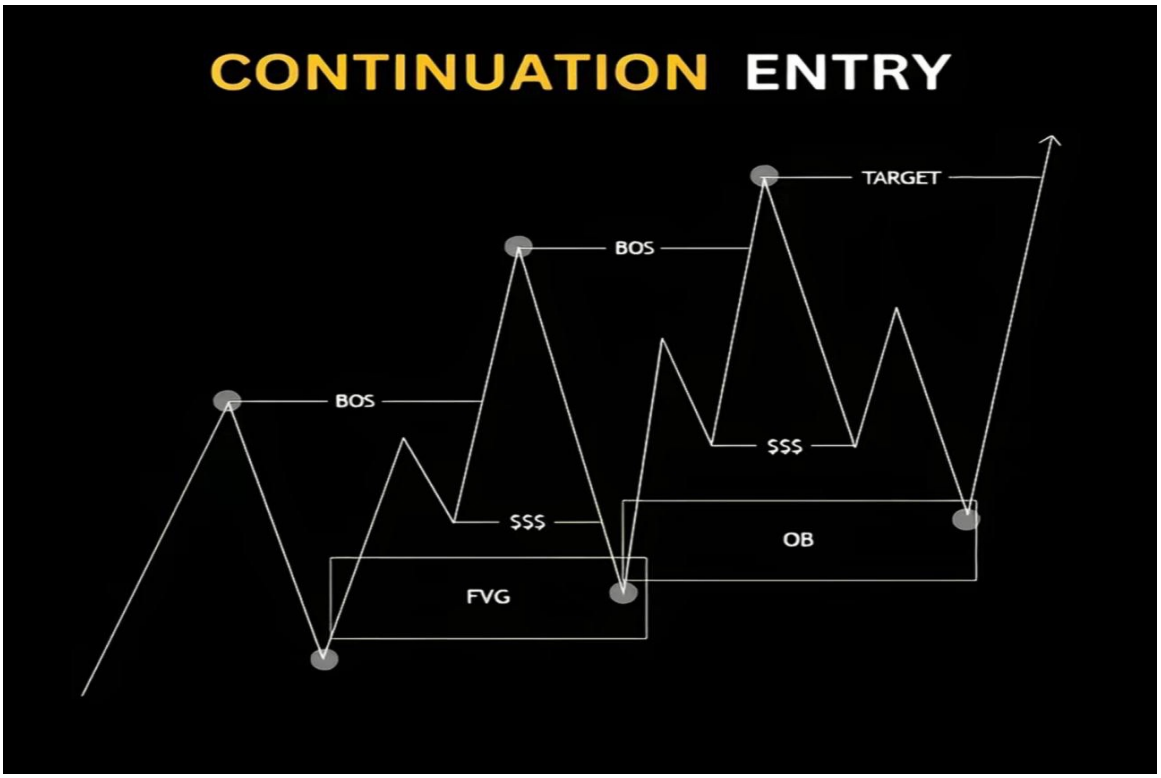
Sweep Entry Model

A sweep entry focuses on external liquidity. After liquidity is swept, CHOCH confirms reversal, and OB/FVG becomes the entry point. Stop Loss is placed below the wick sweep.



Continuation Entry (Advanced)

Advanced continuation entries combine liquidity sweeps, FVG rebalancing, and OB retests. These setups occur during trending markets, providing multiple re-entry opportunities.



Sweep Entry (Final Example)

Final sweep example: external liquidity is targeted, price sweeps, then retests OB/FVG. This marks the ideal institutional entry model.

